S.No	Name of the OM	Date of issuance
1.	No. 24(35)/PF-II/2012	05 August, 2016
2.	No. 01(01)/PFC-II/2022	21 October 2022
3.	No.01(01)/PFC-II/2025	31 October 2025
4.	No.O-11013/02/2015-CSS & CMC (NITI Aayog)	17 August 2016
5.	No.01(01)/PFC-II/2025	06 June 2025
6.	No. 42(02)/PF-II/2014	08 December 2020
7.	No.01(01)/PFC-1/2022	03 October 2023

1. No. 24(35)/PF-II/2012

Date of Issuance - 05 August, 2016

Nature of the OM:- (Expenditure Control)

Overall objective of OM

This OM establishes a standardized mechanism for formulation, appraisal, approval, and evaluation of public funded schemes and projects to ensure transparency, financial prudence, and outcome-based governance

Clause	OM Content (What it says)	Direction / Mandate	What DPR / Scheme must show
Preamble	New uniform system after Plan/Non-Plan removal.	Follow revised guidelines.	● Proposal must align to new appraisal structure.
2	Defines Central Sector & Centrally Sponsored Schemes.	Correct classification mandatory.	● Mention type, funding pattern, components.
3	Project = one-time asset creation.	Use project appraisal route.	● Asset details, returns,

			execution method.
4	Too many schemes → rationalize.	Avoid fragmentation.	• Show merger/drop of old schemes; justify uniqueness.
4(i)	No new scheme without in-principle DoE approval.	Prior clearance required.	• Attach approval reference.
4(ii)	Budget must match approved architecture.	No deviation.	• Outlay consistent with approvals.
4(iii)	Ministries must remove redundant schemes.	Continuous restructuring.	• Provide rationalization note.
4(iv)	DoE may force merger/closure.	Central oversight.	• Accept integration possibility.
5	Weak formulation leads to failure.	Invest time in design.	• Concept paper,

			consultation, pilots.
5	DPR must follow structured template.	Standardization.	● Use Annex-I elements.
5	Prefer umbrella programs; share machinery.	Economies of scale.	● Avoid parallel admin setups.
6	Appraisal via SFC/EFC/DIB/PIB.	Follow proper forum.	● Memo prepared in correct format.
7	New institutions/SPVs → Cabinet approval.	High authority control.	● Cabinet route identified.
8	Approval authority depends on cost.	Respect financial hierarchy.	● Correct competent authority mapped.
Note (8)	Budget availability compulsory; DoE participation for big projects.	No unfunded approvals.	● Funding confirmation.

9 (≤20%)	Limited escalation allowed.	Minor flexibility.	• Within threshold justification.
9 (>20%)	Beyond limit → Revised Cost Committee.	Fresh appraisal mandatory.	• Variation analysis + RCC report.
10	Pre-investment allowed with FA/Secretary up to limit.	Conditional spending.	• Include in final cost.
11	Every scheme → sunset + review.	Time bound existence.	• End date & continuation logic.
12	Outcomes measurable; third party evaluation; extension based on result.	Performance driven funding.	• KPIs, baseline, evaluation design.
13	Old OMs cancelled.	Use only this framework.	• Compliance declaration.

Section 8 → Who approves based on money?

Cost	Approval
Up to 100 Cr	**Secretary**
100–500 Cr	**Minister**
500–1000 Cr	**Minister + FM**
Above 1000 Cr	**Cabinet**

Annexure–wise Summary Table

Annexure	Purpose	What it Covers	Key Requirements from Ministry / Department
Annexure I	Concept / Preliminary appraisal format	Basic idea of the scheme before full DPR	• Need justification of problem, objectives, target beneficiaries, broad financial outlay, implementation method, and expected outcomes.
Annexure II	Detailed appraisal for EFC/PIB	Complete financial & operational design	• Year-wise cost, phasing, funding pattern, component breakup, institutional mechanism, monitoring system, risk factors, and measurable outputs.

Annexure III	Format for **continuation / extension** of existing schemes	Performance review of running scheme	● Physical & financial progress, evaluation findings, reasons for continuation, changes proposed, savings/commitments, and future targets.
Annexure IV	Format for **project proposals**	One-time asset or infrastructure creation	● Technical details, location, cost estimates, implementation schedule, procurement mode, operation & maintenance plan, and economic/social returns.

2. No. 01(01)/PFC-II/2022

Date of Issuance - 21 October 2022

Nature of the OM:- (Compliance Enforcement)

This OM reinforces the requirement of prior in-principle approval by mandating disclosure of recently approved schemes and projects, thereby improving expenditure control, transparency, and informed financial decision-making.

1) Core Purpose of the OM

Item	Explanation
Main Objective	Ensure fiscal discipline, avoid uncontrolled scheme launches, and track cumulative financial burden.
Who must follow	All Ministries / Departments of Government of India.
What requires approval	**Any new scheme, sub-scheme, or project (except items going to CCS or declared in Budget Speech).**
Mandatory condition	Obtain **prior "In-Principle Approval" from Department of Expenditure (DoE)** before starting.

2) Why this OM was re-issued (Problem Identified)

Issue Observed by DoE	Impact
● Ministries starting schemes without DoE approval	● DoE unaware of total liability
● Information reaching only at RE stage	● Late budget shock
● Too many small schemes	● Thin spread of funds, weak outcomes
● Weak project preparation	● Poor feasibility & cost realism

3) Direct Instructions Given

Para	Direction
Sept 2022 OM	Para 4(i) of 2016 OM must be strictly followed.
Sept 2022 OM	DoE can reduce or stop budget support if violated.
Oct 2022 OM	Proposal must include list of schemes/projects (< ₹500 Cr) approved in last 2 FY + current FY.
Both OMs	Send data to DoE + Budget Division (DEA).

4) What Ministries Must Submit with Proposal

Required Document	**Purpose**
Concept Note / Concept Paper	Techno-economic feasibility
Stakeholder consultation proof	Need validation
Financial availability	Affordability
List of small schemes (<500 Cr) Time period of scheme	To know cumulative exposure Future liability planning

3. No.01(01)/PFC-II/2025

Nature of the OM:- (Performance-Linked)
Date of Issuance - 31 October 2025

This OM mandates submission of Output and Outcome achievements under the OOMF for schemes seeking continuation in the 16th Finance Commission cycle, thereby strengthening performance-linked appraisal, transparency, and accountable use of public funds.

Clause-wise Insight Table

S.No	Para / Item	What the OM Says	What It Means	What Ministries Must Submit / Do
1.	Title	Additional information required for schemes continuing beyond 31 March 2026 into XVI FC cycle.	Continuation cases need extra scrutiny.	Provide required annexure data along with EFC memo.
2.	Continuation Reference	This OM is linked to earlier guidelines dated 06.06.2025	Read together with earlier continuation framework.	Ensure compliance with June 2025 OM also.
3.	Use of Format	EFC memo must follow Annexure IV-A of OM dated 05.08.2016.	Old EFC structure remains base document.	Prepare memo in that format
4.	New Requirement	Additional inputs listed in this Annexure are compulsory	Extra disclosures needed for appraisal	Attach all points given below.
5.	Approval Authority	Issued with approval of Secretary (Expenditure).	Highest financial authority endorsement.	Mandatory compliance.

6.	**Circulation**	**Sent to Secretaries, Financial Advisers, PMO, Cabinet Secretariat, NITI etc.**	**Whole of govt visibility.**	**Treat as formal government instruction.**

Annexure – A

Mandatory Data Format Ministry Must Submit

Output

Indicator	Target FY 24-25	Achievement

Outcome

Indicator	Target FY 24-25	Achievement

Annexure – B

Risk Flags for System

- Condition — Flag
- Achievement < 60% — High Risk
- 60–90% — Medium
- > 90% — Good

Annexure – C

Auto Generated Remarks by System

Examples:

- Scheme underachieved in majority indicators.
- Financial continuation may require restructuring.
- Strong performance; eligible for scaling

4. No.O-11013/02/2015-CSS & CMC (NITI Aayog)

Nature of the OM-: (Structural Rationalisation)
Date of Issuance - 17 August 2016

The OM aims to streamline Centrally Sponsored Schemes by reducing duplication, merging programmes into umbrella structures, and prioritising national outcomes. It directs Ministries to clearly define funding patterns, implementation arrangements, and accountability mechanisms while giving States more flexibility.

S.No	Section	What OM States	Direction	What Ministries Must Do
1.	Background	Govt decided to restructure & rationalise CSS.	Align with new architecture.	Review all existing schemes and map them to the new structure.
2.	Need for Reform	Too many schemes → thin spread, inefficiency.	Consolidation required.	Identify small/duplicate schemes for merger or

				closure.
3.	Umbrella Approach	Similar schemes should be grouped.	Reduce fragmentation	Prepare umbrella design with sub-components
4.	Outcome Orientation	Shift focus from spending to results.	Outcome-driven governance.	Define measurable outputs, KPIs, impact indicators.
5.	Classification	CSS to be Core of Core / Core / Optional.	Priority tagging mandatory	Justify category selection in proposal.
6.	Core of Core	Highest national priority schemes.	Funding protection	Ensure uninterrupted support & strong monitoring.
7.	Core Schemes	Important schemes with shared funding.	Follow sharing norms	Work out centre–state responsibilities.
8.	Optional Schemes	States can choose based on need.	Flexibility principle	Provide adaptable design & guidelines
9.	State Flexibility	Local adaptation allowed within framework	Cooperative federalism	Allow modifications while keeping core objectives
10.	Funding Pattern	Scheme must clearly specify sharing ratio.	Transparency in financing.	Mention % share of Centre & State for every component.
11.	Cost Norms	Expenditure norms to be revised appropriately	Rational financial planning	Define unit costs, ceilings, admissible items
12.	Release of Funds	Fund flow mechanism to be laid down	Structured disbursement	Describe installments, conditions, nodal

				agencies
13.	Institutional Arrangements	Administrative setup must be clear	Fix accountability	Define roles of ministry, state, district, implementing body
14.	Monitoring & Evaluation	Stronger review system required	Improve accountability	Establish MIS, reporting frequency, evaluation plan
15.	Avoid Duplication	Overlaps must be removed	Efficiency & clarity	Map with other schemes and eliminate repetition
16.	Role of NITI	NITI will guide Ministries	Central coordination	Consult NITI during design & restructuring
17.	Approval	Revised proposals require proper appraisal	Formal approval route	Submit revised EFC/SFC/Cabinet notes
18.	Transition	Existing schemes run till new approvals	Smooth migration	Prepare interim continuation & migration strategy
19.	Timelines	Exercise to be done within given time	Urgency	Complete restructuring and submit in time

5. No.01(01)/PFC-II/2025

Nature of the OM-: (Continuation Compliance)
Date of Issuance - 06 June 2026

This OM ensures stricter appraisal before any scheme is allowed to continue into the XVI Finance Commission cycle. It requires Ministries to justify relevance, demonstrate past performance, present realistic financial projections, and provide transparency on fund sharing, staffing, and implementation structures.

Annexure – (Continuation into XVI FC)

S. No.	Dimension	Sub-Area	Requirement from OM	What Ministry Must Submit
1	Continuation	Justification	Need for scheme in XVI FC cycle.	Written rationale & expected benefits.
2	Evaluation	Third-party review	Findings must be examined.	Evaluation report + ministry comments on each finding.
3	Scheme Structure	Dropped / merged parts	Show restructuring of old design.	List of components removed or merged with reasons.
4	Scheme Structure	Modified parts	Changes in scope/design.	Modification details + justification.
5	Scheme Structure	New parts	Additions require scrutiny.	List of new components + need.
6	Rationalisation	Efficiency	Remove duplication & improve focus.	Explanation of streamlining.
7	Financial (Past)	Expenditure trend	Past spending used as base.	AE for last four years.
8	Financial (Eligibility)	Permissible ceiling	Derived via formula.	Calculate eligible outlay.

9	Financial (Discipline)	Exceeding limit	Extra demand must be defended.	Reasons for higher proposal.
10	Financial (Future)	XVI FC projection	Multi-year planning required.	Year-wise outlay 2026-31 + total.
11	Fund Sharing	CSS contribution	Define Centre–State ratio.	Component-wise share.
12	Fund Sharing	Non-uniformity	Variation is exception.	Detailed justification.
13	Cost Norms	Unit cost revision	Change must be explained.	Old vs new + reasons.
14	Timelines	Sunset clause	Scheme should not run endlessly.	Exit / tapering / completion strategy.
15	PMU / Administratio n	Governance setup	Accountability clarity.	Institutional arrangement description.
16	HR / Posts	Existing manpower	Show staff burden.	Regular/contractua l posts, persons, annual cost.
17	HR / Posts	Additional manpower	Expansion impact.	New posts proposed + cost.
18	Implementati on	Delivery chain	Understand operational hierarchy.	GOI → State → District → field diagram.
19	Fund Flow	Financial trail	Track money movement.	CFI → intermediaries → beneficiary chart.

6. No. 42(02)/PF-II/2014
Nature of the OM-: (Scheme Continuation)
Date of Issuance - 8th December 2020

This OM establishes the mandatory process for reviewing existing government schemes before they are allowed to continue into the next Finance Commission period. It emphasizes evidence-based appraisal, financial discipline, and outcome-oriented justification to ensure only relevant and efficient schemes receive further funding.

Section / Para	What the OM Says	Direction / Requirement	What Ministry / Dept must ensure
Header	Issued by Department of Expenditure, Ministry of Finance.	Official financial governance instruction.	Follow compulsorily.
Subject	Procedure for appraisal, approval and continuation of ongoing schemes.	Uniform decision framework.	Apply while seeking extension or fresh approval.
Background	With end of Finance Commission cycle, many schemes require review before continuation.	Automatic continuation not allowed.	Re-justify need & performance.
General Principle	Every scheme must undergo fresh appraisal.	Mandatory evaluation.	Provide updated DPR & financials.
Para on Sunset	Schemes end with Finance Commission period unless approved again.	Expiry is default.	Seek approval before deadline.

Responsibility	Administrative Ministry responsible for proposal quality.	Accountability fixed.	Ensure data correctness.
Outcome Focus	Emphasis on measurable outcomes, not just expenditure.	Shift to results.	Provide output/outcome indicators.
Need for Evaluation	Third party / independent evaluation required.	Evidence-based continuation.	Attach evaluation report.
If Evaluation Not Done	Reasons must be recorded.	No silent exemption.	Provide justification & timeline.
Financial Performance	Utilization, savings, pending liabilities to be shown.	Transparency.	Give year-wise expenditure.
Demand for Funds	Future requirement must be realistic.	Avoid inflated budgeting.	Provide phasing.
Unspent Balances	Must be adjusted before fresh allocation.	Financial discipline.	Declare balances.
Scheme Rationalisation	Similar / overlapping schemes should merge.	Avoid duplication.	Show convergence.
PMU / Admin Cost	Should be reasonable & justified.	Cost efficiency.	Provide breakup & norms.
New Components	Cannot be added without approval.	Control expansion.	Seek fresh sanction.
Change in Scope	Requires revised approval.	Prevent informal changes.	Submit EFC/SFC note.

Funding Pattern Change	Needs DoE concurrence.	Financial control.	Provide justification.
Continuation Proposal	Must follow extant appraisal formats.	Standardization.	Submit complete documents.
Timelines	Proposals should reach DoE in advance.	Avoid last-minute rush.	Plan early submission.
Role of DoE	Final authority for financial appraisal.	Central oversight.	Obtain concurrence.
Non-compliance	Expenditure without approval may not be regularised.	Serious warning.	Do not commit funds early.
Monitoring	Regular review mechanism required.	Continuous tracking.	Define monitoring structure.
Outcome Budget Link	Must align with Output-Outcome Framework.	Performance linkage.	Provide measurable targets.
Closure Option	Non-performing schemes may be discontinued.	Promote efficiency.	Provide continuation rationale.
Annexures	Provide formats for data, evaluation, finance etc.	Structured submission.	Fill completely.

7. No.01(01)/PFC-1/2022
Nature of the OM-: (Procedural Reform)
Date of Issuance - 03 October 2023

To standardize how Ministries design, justify, cost, and seek approval for new public funded schemes.
It strengthens financial scrutiny, ensures measurable outcomes, and prevents duplication or hidden liabilities.

S. No.	Core Area	What OM Requires	What Ministry must clearly show
1	Completeness	Proposal must be fully complete before appraisal.	All annexures, data, approvals attached.
2	Appraisal Route	Correct forum (EFC/SFC) based on cost.	Competent authority mentioned.
3	Justification	Clear problem, target beneficiaries & outcomes.	Measurable results.
4	No Duplication	Must not overlap with existing schemes.	Comparison & gap.
5	Evidence	Need must be data-backed.	Baseline / survey.
6	Costing	Year-wise & component-wise break-up mandatory.	Detailed financial table.
7	Funding Pattern	Centre/State/other share required.	Exact ratio.
8	Recurring Liability	Future financial burden must be declared.	Sustainability plan.
9	Implementation	Roles & responsibilities fixed.	Who will execute.
10	Timeline	Milestones & completion schedule.	Time-bound plan.
11	Monitoring	KPIs & review mechanism compulsory.	Performance indicators.

12	Evaluation	Provision for mid/end term evaluation.	Budget & agency.
13	Fund Flow	Clear release & utilization mechanism.	PFMS/DBT etc.
14	Procurement	Follow GFR norms.	Procurement strategy.
15	Admin Cost	Must be reasonable & justified.	% of total outlay.
16	Outcome Linkage	Spending must map to outputs.	Quantifiable metrics.
17	Sunset	Fixed scheme duration required.	Exit/closure.
18	Post-Approval Change	Cost/scope change → fresh approval.	Revision process.
19	Templates	Prescribed annexures mandatory.	Correct format.
20	Responsibility	Ministry certifies accuracy.	Signed confirmation.